The Links: The External Trade and Financial Openness of the BRICS

Table 2.5 reports on the trade and financial openness of the BRICS and the G5. The argument is often made that economic liberalization is a prerequisite for economic growth, as well as influence in international financial markets. Scholars such as Carla Norrlof suggest that openness to international trade and financial markets is not only helpful, but in fact essential for a country that wishes to play a serious international financial and currency role.[126] Similarly, bringing in foreign financial institutions and competition, together with a gradual opening of domestic financial markets, can help reduce the power of domestic interest groups and accelerate financial reform and innovation. Especially for middle-income economies, these measures can help improve financial services and the efficiency of resource allocation.[127]

However, leaders of each of the BRICS countries, as well as many prominent Western scholars, are skeptical about the benefits of full external economic openness.[128] In their judgment, the relationship between capital account liberalization and a presence in global financial governance is not linear, but rather curvilinear: a minimum level of openness surely is required, but ever greater openness does not generate ever greater possibilities to exercise international financial statecraft, especially for countries that are not currently at the top of the global hierarchy. Relatively closed financial links may protect emerging economies against external financial contagion, and they do not necessarily imply that these economies cannot wield significant influence in international financial governance. Moreover, transitional financial systems may develop regulatory gaps and fragmentation, as in China, leading the IMF to recommend against opening the capital account too quickly lest the financial system and the economy "get unbalanced by capital flows."[129]

Economists in China and Russia have complained that Western measures of financial openness are themselves biased.[130] For instance, the Russian market has no formal capital controls and encourages foreign investment, although informal political risks are not inconsiderable. In China's case, some economists question whether the IMF's *Annual Report on Exchange Arrangements and Exchange Restrictions* is too broad and static and not sufficiently sensitive to incremental changes where capital controls are being relaxed.[131] Nonetheless, it is worth assessing the differing profiles of trade and financial liberalization found in the G5 and the BRICS, as is done in Table 2.5.